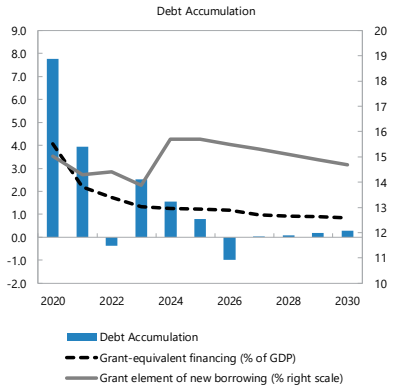
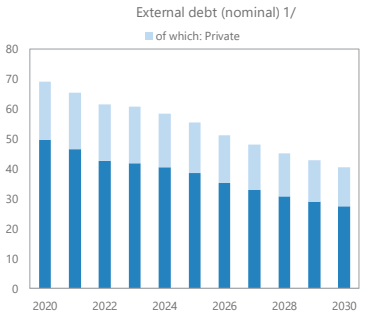
Table 1. Maldives: External Debt Sustainability Framework, Baseline Scenario, 2017–2040

(In percent of GDP, unless otherwise indicated)

	Actual			Projections							Average 8/	
	2017	2018	2019	2020	2021	2022	2023	2024	2025	2030	2040	Historical	Projections
External debt (nominal) 1/	**35.6**	**50.4**	**54.2**	**69.0**	**65.3**	**61.5**	**60.6**	**58.3**	**55.5**	**40.5**	**28.9**	**35.9**	**54.3**
of which: public and publicly guaranteed (PPG)	**24.1**	**35.3**	**38.3**	**49.6**	**46.4**	**42.6**	**41.8**	**40.5**	**38.5**	**27.4**	**20.6**	**25.0**	**37.7**
Change in external debt	8.2	14.7	3.9	14.8	-3.8	-3.8	-0.9	-2.3	-2.8	-2.2	-0.5		
Identified net debt-creating flows	**9.9**	**11.6**	**7.0**	**21.8**	**-4.5**	**-3.3**	**-3.0**	**-2.4**	**-2.6**	**-1.9**	**0.0**	**0.7**	**-0.8**
Non-interest current account deficit	**21.1**	**24.9**	**24.6**	**22.2**	**10.5**	**7.9**	**7.8**	**8.1**	**7.8**	**5.4**	**3.6**	**13.6**	**8.4**
Deficit in balance of goods and services	3.9	7.9	6.3	9.8	-4.4	-7.0	-7.3	-7.0	-7.0	-7.4	-7.0	**-5.0**	**-5.7**
Exports	70.2	69.2	65.2	48.0	60.0	61.7	62.7	62.8	63.0	64.2	63.4		
Imports	74.0	77.1	71.5	57.7	55.5	54.7	55.3	55.9	56.0	56.8	56.3		
Net current transfers (negative = inflow)	9.9	9.3	10.1	8.3	9.7	9.9	10.0	9.9	9.7	7.6	5.8	**9.6**	**9.0**
of which: official	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Other current account flows (negative = net inflow)	7.3	7.7	8.2	4.1	5.3	5.0	5.2	5.1	5.1	5.1	4.8	**9.0**	**5.0**
Net FDI (negative = inflow)	**-9.7**	**-10.8**	**-15.5**	**-6.0**	**-8.5**	**-8.7**	**-8.7**	**-8.7**	**-8.7**	**-6.2**	**-3.0**	**-10.6**	**-7.8**
Endogenous debt dynamics 2/	**-1.5**	**-2.4**	**-2.1**	**5.6**	**-6.5**	**-2.5**	**-2.1**	**-1.8**	**-1.7**	**-1.1**	**-0.5**		
Contribution from nominal interest rate	0.6	1.5	1.5	0.9	1.4	1.3	1.2	1.3	1.3	0.8	0.6		
Contribution from real GDP growth	-1.7	-2.2	-2.6	4.7	-7.9	-3.8	-3.4	-3.0	-2.9	-1.9	-1.2		
Contribution from price and exchange rate changes	-0.4	-1.8	-1.0	...	...	...	...	...	...	...	...		
Residual 3/	**-1.8**	**3.1**	**-3.1**	**-7.0**	**0.7**	**-0.5**	**2.1**	**0.2**	**-0.3**	**-0.3**	**-0.5**	**0.3**	**-0.5**
of which: exceptional financing	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Sustainability indicators													
PV of PPG external debt-to-GDP ratio	**...**	**...**	**32.8**	**43.1**	**40.6**	**37.1**	**36.6**	**35.5**	**33.8**	**23.7**	**17.7**		
PV of PPG external debt-to-exports ratio	**...**	**...**	**50.4**	**90.0**	**67.7**	**60.0**	**58.5**	**56.6**	**53.7**	**36.8**	**27.9**		
PPG debt service-to-exports ratio	**2.8**	**3.4**	**6.1**	**4.8**	**6.1**	**12.5**	**6.7**	**7.1**	**8.1**	**5.4**	**4.0**		
PPG debt service-to-revenue ratio	**7.2**	**9.1**	**15.5**	**13.7**	**16.4**	**31.9**	**16.6**	**17.3**	**19.8**	**13.4**	**9.5**		
Gross external financing need (Million of U.S. dollars)	805.2	1112.5	882.4	1143.2	537.9	678.7	490.9	546.4	614.0	539.1	983.3		
Key macroeconomic assumptions													
Real GDP growth (in percent)	6.8	6.9	5.7	-8.1	13.2	6.4	5.9	5.4	5.4	4.8	4.2	**6.2**	**4.9**
GDP deflator in US dollar terms (change in percent)	1.4	5.3	2.0	2.4	2.5	2.0	2.0	2.0	2.0	2.0	2.0	**3.1**	**2.1**
Effective interest rate (percent) 4/	2.3	4.9	3.3	1.6	2.3	2.2	2.1	2.2	2.3	2.1	2.3	**1.9**	**2.2**
Growth of exports of G&S (US dollar terms, in percent)	5.4	10.9	1.6	-30.8	45.1	11.7	9.7	7.7	7.8	7.0	6.4	**8.4**	**8.1**
Growth of imports of G&S (US dollar terms, in percent)	9.5	17.1	0.0	-24.0	11.6	7.0	9.2	8.5	7.7	7.0	6.7	**11.2**	**5.3**
Grant element of new public sector borrowing (in percent)	...	...	...	15.0	14.3	14.4	13.9	15.7	15.7	14.7	13.3	**...**	**15.0**
Government revenues (excluding grants, in percent of GDP)	27.5	26.1	25.7	16.9	22.2	24.2	25.3	25.6	25.8	26.2	26.8	**24.6**	**24.6**
Aid flows (in Million of US dollars) 5/	14.1	53.2	92.3	238.0	156.6	138.1	116.9	119.5	124.7	125.8	179.0		
Grant-equivalent financing (in percent of GDP) 6/	...	...	...	4.1	2.2	1.7	1.3	1.3	1.2	0.9	0.6	**...**	**1.5**
Grant-equivalent financing (in percent of external financing) 6/	...	...	...	32.9	32.5	27.4	24.8	27.2	26.5	25.1	19.3	**...**	**27.5**
Nominal GDP (Million of US dollars)	4,729	5,321	5,734	5,398	6,263	6,798	7,345	7,895	8,487	12,036	22,639		
Nominal dollar GDP growth	8.3	12.5	7.8	-5.9	16.0	8.5	8.0	7.5	7.5	6.9	6.3	**9.4**	**7.1**
Memorandum items:													
PV of external debt 7/	...	...	48.8	62.6	59.5	56.0	55.4	53.4	50.7	36.8	26.0		
In percent of exports	...	...	74.8	130.5	99.2	90.7	88.4	85.0	80.6	57.3	41.0		
Total external debt service-to-exports ratio	7.9	9.9	9.7	10.4	10.2	16.6	10.7	11.0	11.8	8.3	6.0		
PV of PPG external debt (in Million of US dollars)			1882.8	2328.6	2541.5	2519.0	2690.5	2805.1	2868.1	2846.8	3999.7		
(PVt-PVt-1)/GDPt-1 (in percent)				7.8	3.9	-0.4	2.5	1.6	0.8	0.3	1.0		
Non-interest current account deficit that stabilizes debt ratio	13.0	10.1	20.7	7.4	14.3	11.7	8.8	10.3	10.6	7.5	4.1		

Definition of external/domestic debt	**Currency-based**
Is there a material difference between the two criteria?	**No**





Sources: Country authorities; and staff estimates and projections.

1/ Includes both public and private sector external debt.

2/ Derived as [r - g - ρ(1+g)]/(1+g+ρ+gρ) times previous period debt ratio, with r = nominal interest rate; g = real GDP growth rate, and ρ = growth rate of GDP deflator in U.S. dollar terms.

3/ Includes exceptional financing (i.e., changes in arrears and debt relief); changes in gross foreign assets; and valuation adjustments. For projections also includes contribution from price and exchange rate changes.

4/ Current-year interest payments divided by previous period debt stock.

5/ Defined as grants, concessional loans, and debt relief.

6/ Grant-equivalent financing includes grants provided directly to the government and through new borrowing (difference between the face value and the PV of new debt).

7/ Assumes that PV of private sector debt is equivalent to its face value.

8/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

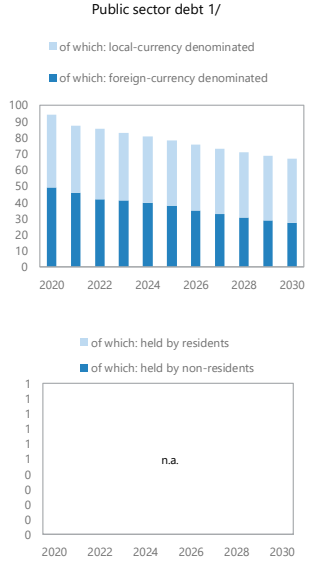
©International Monetary Fund. Not for Redistribution

Table 2. Maldives: Public Sector Debt Sustainability Framework, Baseline Scenario, 2017–2040

(In percent of GDP, unless otherwise indicated)

	Actual			Projections								Average 6/	
	2017	2018	2019	2020	2021	2022	2023	2024	2025	2030	2040	Historical	Projections
Public sector debt 1/	**61.3**	**71.3**	**76.9**	**93.9**	**87.3**	**85.4**	**83.0**	**80.7**	**78.1**	**66.7**	**51.4**	**59.6**	**78.4**
of which: external debt	**24.1**	**35.3**	**38.3**	**49.6**	**46.4**	**42.6**	**41.8**	**40.5**	**38.5**	**27.4**	**20.6**	**25.0**	**37.7**
Change in public sector debt	3.6	10.0	5.7	17.0	-6.7	-1.9	-2.4	-2.3	-2.5	-1.9	-1.6		
Identified debt-creating flows	**1.8**	**-1.0**	**1.0**	**16.8**	**-6.3**	**-1.9**	**-2.4**	**-2.3**	**-2.5**	**-1.8**	**-1.6**	**0.9**	**-0.9**
Primary deficit	**4.8**	**3.3**	**3.9**	**10.1**	**4.4**	**3.1**	**1.9**	**1.4**	**1.1**	**0.4**	**-0.2**	**4.8**	**2.3**
Revenue and grants	27.8	27.1	27.3	19.4	23.7	25.1	26.0	26.3	26.4	26.6	27.0	**25.4**	**25.4**
of which: grants	0.3	1.0	1.6	2.6	1.4	1.0	0.7	0.6	0.6	0.4	0.2		
Primary (noninterest) expenditure	32.6	30.4	31.2	29.6	28.1	28.2	27.9	27.7	27.5	27.0	26.9	**30.2**	**27.7**
Automatic debt dynamics	**-2.9**	**-4.3**	**-2.9**	**6.7**	**-10.7**	**-4.9**	**-4.3**	**-3.7**	**-3.6**	**-2.3**	**-1.4**		
Contribution from interest rate/growth differential	-2.9	-3.6	-2.9	6.7	-10.7	-4.9	-4.3	-3.7	-3.6	-2.3	-1.4		
of which: contribution from average real interest rate	0.7	0.3	0.9	-0.1	0.3	0.3	0.4	0.5	0.6	0.9	0.8		
of which: contribution from real GDP growth	-3.7	-4.0	-3.8	6.8	-11.0	-5.2	-4.8	-4.2	-4.1	-3.1	-2.2		
Contribution from real exchange rate depreciation	0.0	-0.7	0.0	...	...	...	...	...	...	...	...		
Other identified debt-creating flows	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**-0.5**	**0.0**
Privatization receipts (negative)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Recognition of contingent liabilities (e.g., bank recapitalization)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Debt relief (HIPC and other)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Other debt creating or reducing flow (please specify)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Residual	**1.7**	**10.9**	**4.7**	**0.2**	**-0.3**	**0.0**	**0.0**	**0.0**	**0.0**	**-0.1**	**0.0**	**1.9**	**-0.1**
Sustainability indicators													
PV of public debt-to-GDP ratio 2/	**...**	**...**	**71.5**	**87.5**	**81.5**	**79.9**	**77.8**	**75.7**	**73.4**	**62.9**	**48.4**		
PV of public debt-to-revenue and grants ratio	**...**	**...**	**261.5**	**449.7**	**344.0**	**318.1**	**298.9**	**288.2**	**278.0**	**236.5**	**179.1**		
Debt service-to-revenue and grants ratio 3/	**10.4**	**12.4**	**17.2**	**15.0**	**24.3**	**42.8**	**36.8**	**36.9**	**41.2**	**46.0**	**27.3**		
Gross financing need 4/	7.7	6.7	8.6	13.0	10.1	13.8	11.5	11.1	12.0	12.7	7.2		
Key macroeconomic and fiscal assumptions													
Real GDP growth (in percent)	6.8	6.9	5.7	-8.1	13.2	6.4	5.9	5.4	5.4	4.8	4.2	**6.2**	**4.9**
Average nominal interest rate on external debt (in percent)	3.5	7.2	4.7	2.3	3.2	3.1	3.1	3.2	3.3	3.1	3.3	**2.8**	**3.1**
Average real interest rate on domestic debt (in percent)	1.1	-2.2	0.2	-0.9	-0.9	-0.4	0.1	0.1	0.2	1.5	1.7	**-0.4**	**0.3**
Real exchange rate depreciation (in percent, + indicates depreciation)	0.1	-2.9	0.1	...	...	...	...	...	...	...	...	**-1.3**	**...**
Inflation rate (GDP deflator, in percent)	1.4	5.3	2.0	2.4	2.5	2.0	2.0	2.0	2.0	2.0	2.0	**5.0**	**2.1**
Growth of real primary spending (deflated by GDP deflator, in percent)	-0.6	-0.1	8.5	-13.0	7.4	6.9	4.8	4.6	4.5	4.6	4.4	**5.6**	**3.6**
Primary deficit that stabilizes the debt-to-GDP ratio 5/	1.2	-6.6	-1.8	-6.9	11.0	4.9	4.3	3.7	3.6	2.4	1.4	**-2.4**	**3.2**
PV of contingent liabilities (not included in public sector debt)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		

Definition of external/domestic debt	**Currency-based**
Is there a material difference between the two criteria?	**No**



Sources: Country authorities; and staff estimates and projections.

1/ Coverage of debt: The central government, central bank, government-guaranteed debt . Definition of external debt is Currency-based.

2/ The underlying PV of external debt-to-GDP ratio under the public DSA differs from the external DSA with the size of differences depending on exchange rates projections.

3/ Debt service is defined as the sum of interest and amortization of medium and long-term, and short-term debt.

4/ Gross financing need is defined as the primary deficit plus debt service plus the stock of short-term debt at the end of the last period and other debt creating/reducing flows.

5/ Defined as a primary deficit minus a change in the public debt-to-GDP ratio ((-): a primary surplus), which would stabilizes the debt ratio only in the year in question.

6/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

©International Monetary Fund. Not for Redistribution

Table 3. Maldives: Sensitivity Analysis for Key Indicators of Public and Publicly Guaranteed External Debt, 2020–2030

(In percent)

	Projections 1/										
	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030
PV of debt-to GDP ratio											
Baseline	**43**	**41**	**37**	**37**	**36**	**34**	**31**	28	27	25	24
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2020-2030 2/	**43**	**44**	**43**	**45**	**46**	**47**	**46**	**46**	**47**	**47**	**47**
B. Bound Tests											
B1. Real GDP growth	**43**	**47**	**44**	**43**	**42**	**40**	**36**	**34**	**32**	30	28
B2. Primary balance	**43**	**42**	**41**	**41**	**40**	**38**	**35**	**33**	**31**	30	28
B3. Exports	**43**	**58**	**75**	**74**	**71**	**65**	**59**	**53**	**49**	**44**	**40**
B4. Other flows 3/	**43**	**45**	**46**	**45**	**43**	**41**	**37**	**34**	**32**	29	27
B5. Depreciation	**43**	**51**	**46**	**45**	**44**	**42**	**38**	**35**	**33**	**31**	29
B6. Combination of B1-B5	**43**	**68**	**66**	**65**	**62**	**58**	**52**	**48**	**44**	**40**	**37**
C. Tailored Tests											
C1. Combined contingent liabilities	**43**	**43**	**40**	**40**	**39**	**38**	**35**	**33**	**31**	29	28
C2. Natural disaster	**43**	**45**	**42**	**42**	**42**	**41**	**38**	**36**	**35**	**33**	**32**
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	**43**	**45**	**41**	**41**	**40**	**38**	**34**	**31**	29	28	26
Threshold	30	30	30	30	30	30	30	30	30	30	30
PV of debt-to-exports ratio											
Baseline	90	68	60	58	57	54	48	45	42	39	37
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2020-2030 2/	90	73	70	72	74	74	73	73	74	74	73
B. Bound Tests											
B1. Real GDP growth	90	68	60	58	57	54	48	45	42	39	37
B2. Primary balance	90	69	66	65	63	61	56	52	49	46	44
B3. Exports	90	**140**	**199**	**192**	**183**	**169**	**152**	137	124	113	103
B4. Other flows 3/	90	75	74	72	69	65	58	54	49	46	43
B5. Depreciation	90	68	59	57	56	53	48	44	41	38	36
B6. Combination of B1-B5	90	134	89	128	122	114	102	93	85	78	72
C. Tailored Tests											
C1. Combined contingent liabilities	90	72	65	64	62	60	55	51	48	46	44
C2. Natural disaster	90	75	69	68	67	65	61	58	55	52	51
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	90	68	60	59	57	54	48	44	41	39	36
Threshold	140	140	140	140	140	140	140	140	140	140	140
Debt service-to-exports ratio											
Baseline	5	6	**12**	7	7	8	10	6	6	6	5
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2020-2030 2/	5	6	**13**	7	8	9	**11**	8	8	8	8
B. Bound Tests											
B1. Real GDP growth	5	6	**12**	7	7	8	10	6	6	6	5
B2. Primary balance	5	6	**13**	7	8	9	**10**	7	7	6	6
B3. Exports	5	9	**22**	**15**	**18**	**23**	**25**	**19**	**18**	**17**	**16**
B4. Other flows 3/	5	6	**13**	7	8	10	**11**	8	7	7	6
B5. Depreciation	5	6	**12**	7	7	8	9	6	6	6	5
B6. Combination of B1-B5	5	9	**20**	**12**	**15**	**16**	**18**	**13**	**13**	**12**	**11**
C. Tailored Tests											
C1. Combined contingent liabilities	5	6	**13**	7	7	8	10	7	6	6	6
C2. Natural disaster	5	6	**13**	7	8	9	**10**	7	7	6	6
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	5	6	**13**	7	8	9	9	6	6	6	5
Threshold	10	10	10	10	10	10	10	10	10	10	10
Debt service-to-revenue ratio											
Baseline	14	**16**	**32**	**17**	**17**	**20**	**23**	**16**	**15**	14	13
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2020-2030 2/	14	**17**	**34**	**18**	**19**	**22**	**27**	**20**	**20**	**20**	**20**
B. Bound Tests											
B1. Real GDP growth	14	**19**	**38**	**20**	**21**	**24**	**28**	**19**	**18**	**17**	**16**
B2. Primary balance	14	**16**	**32**	**17**	**18**	**21**	**25**	**17**	**17**	**16**	**15**
B3. Exports	14	**16**	**35**	**22**	**27**	**35**	**37**	**29**	**27**	**26**	**24**
B4. Other flows 3/	14	**16**	**33**	**18**	**20**	**23**	**26**	**19**	**18**	**17**	**16**
B5. Depreciation	14	**21**	**40**	**21**	**22**	**25**	**29**	**19**	**18**	**17**	**17**
B6. Combination of B1-B5	14	**19**	**42**	**23**	**29**	**32**	**36**	**26**	**25**	**23**	**22**
C. Tailored Tests											
C1. Combined contingent liabilities	14	**16**	**32**	**17**	**18**	**20**	**24**	**16**	**15**	**15**	14
C2. Natural disaster	14	**16**	**32**	**17**	**18**	**21**	**24**	**17**	**16**	**15**	**14**
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	14	**16**	**32**	**18**	**20**	**22**	**23**	14	**14**	**14**	13
Threshold	14	14	14	14	14	14	14	14	14	14	14

Sources: Country authorities; and staff estimates and projections.
1/ A bold value indicates a breach of the threshold.
2/ Variables include real GDP growth, GDP deflator (in U.S. dollar terms), non-interest current account in percent of GDP, and non-debt creating flows.
3/ Includes official and private transfers and FDI.

©International Monetary Fund. Not for Redistribution